BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

25-G-XXXX

January 2025

Prepared Testimony of:

Gas Rates Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF GAS RATE PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF GAS RATE PANEL

I. INTRODUCTION

Q. Would the members of the Gas Rate Panel ("Panel") please state their names and business addresses.

A. William Atzl, Yan Flishenbaum, Lucy Villeta and Alla Warner, 4 Irving Place, New York, New York 10003.

Q. By whom are you employed and in what capacity?

A. **(Atzl)** I am employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company") as the Director of the Rate Engineering Department.

(Flishenbaum) I am employed by Con Edison as the Department Manager of the Orange and Rockland Utilities, Inc. ("Orange and Rockland" or "O&R") Rates section in the Rate Engineering Department.

(Villeta) I am employed by Con Edison as the Department Manager of the Gas Rates section in the Rate Engineering Department.

(Warner) I am employed by Con Edison as a Senior Rate Analyst in the Gas Rates section in the Rate Engineering Department.

Q. Please summarize your educational background and business experience.

A. **(Atzl)** In 1983, I graduated from the State University of New York at Stony Brook with a Bachelor of Engineering degree in Mechanical Engineering. In 1989, I graduated from Pace University with a Master of Business Administration degree in Management Information Systems. I am a Licensed Professional Engineer in the State of New York. My first employment was in

1983 with the Long Island Lighting Company, where I held the position of Assistant Engineer in the New Business Department. In 1984, I joined O&R as a Commercial and Industrial Representative in the Commercial Operations Department. At Orange and Rockland, I also held the positions of Commercial and Industrial Engineer, Program Administrator - Demand-Side Management, Manager - Demand-Side Management Operations, Manager - Energy Services and Pricing, and Manager – Regulatory Affairs. In October 1999, I joined Con Edison and held the positions of Department Manager – Electric and Gas Rate Design – O&R, and Director prior to taking my present position in 2012.

(Flishenbaum) I received a Bachelor of Business Administration Degree in Economics from Pace University in 2001 and a Master of Business Administration Degree in Finance and Economics from New York University in 2008. In 2001, I began my employment with Con Edison in the Cost Analysis section of the Rate Engineering Department. In 2003, I was promoted to Analyst, and in that role was mainly involved in developing the costing methodologies related to unbundling. I was promoted to Senior Analyst in 2005. In 2008, I was promoted to Senior Rate Analyst responsible for developing the Company's cost-of-service models. In 2013, I was promoted to Section Manager of the Electric Rates section of the Rate Engineering Department. In 2016, I was promoted to Department Manager of the Load

Research and Cost Analysis sections of the Rate Engineering Department. I have been in my present position since November 2024.

(Villeta) I received a Bachelor of Business Administration Degree in Finance with a minor in Management Information Systems from Pace University in September 1989. In October 1989, I began my employment with Con Edison as a Management Intern with rotational assignments in Forecasting and Economic Analysis, Accounting Research and Procedures ("ARP"), and Power Generation Services. In June 1990, I accepted my permanent assignment as an Associate Accountant in ARP. In 1995, I was promoted to Budget Analyst in Central Customer Service. In 1998, I was promoted to Senior Analyst in Customer Operations responsible for managing the Call Center and Service Center budget. In 2001, I was promoted to Financial Manager of Staten Island and Electric Services. In 2005, I was promoted to Section Manager of Cost Analysis section of the Rate Engineering Department responsible for the development of fully unbundled embedded and marginal cost of service studies. I have been in my current position since December 2021.

(Warner) I am a Senior Rate Analyst in the Gas Rates section in the Rate Engineering Department. I received a Bachelor of Arts Degree and a Master of Business Administration Degree in Finance from Russian State Economics University. In 2014, I received a Bachelor of Arts Degree in Financial Economics from

Columbia University. My employment thereafter was as a Rate Analyst at SUEZ from 2015 to 2017. I joined Con Edison in 2017 as a Senior Analyst in the Gas Rates section of the Rate Engineering Department. In December 2021, I was promoted to my current position.

Q. Have any members of the Gas Rate Panel previously testified before the New York State Public Service Commission (the "Commission")?

A. All members of the Panel have previously testified before the Commission.

II. PURPOSE OF TESTIMONY

Q. What is the purpose of the Panel's testimony?

A. Our testimony presents the Company's:

(1) Gas embedded cost of service ("ECOS") study, including the development of unbundled costs associated with competitive services;

(2) Gas marginal transmission and distribution cost analysis;

(3) Proposed revenue allocation and rate design;

(4) Revenue and bill impacts showing the projected number of bill increases and decreases, and typical monthly bills, by class;

(5) Other tariff changes; and

(6) Computer System Enhancement Programs.

III. EMBEDDED COST-OF-SERVICE STUDY

Q. Did you perform an ECOS study for this proceeding, including the development of unbundled costs associated with competitive services?

A. Yes, we did. Exhibit __ (GRP-1) is entitled "Consolidated Edison Company of New York, Inc. – Embedded Cost-of-Service Study – Gas Department – Year 2023."

Q. Please describe the exhibit.

A. The ECOS study and unbundled cost components analysis exhibit consists of three schedules. The first schedule, entitled Exhibit ___ (GRP-1), Schedule 1 "Consolidated Edison Company of New York, Inc. – Embedded Cost-of-Service Study – Gas Department – Year 2023 – Rates in Effect January 1, 2025," shows the results of the ECOS study. The second schedule entitled Exhibit ___ (GRP-1), Schedule 2, "Merchant Function," shows the Merchant Function Charge ("MFC") calculations. The third schedule, entitled Exhibit ___(GRP-1), Schedule 3 "Billing & Payment Processing," shows the unbundled costs for printing and mailing a bill and receipts processing functions.

Q. Please provide a general description of the ECOS study.

A. The ECOS study (Schedule 1) analyzes, on a class basis and for a past period, revenues and book (accounting) costs for specific cost categories.

Q. What cost categories are analyzed in the ECOS study you are presenting?

A. The ECOS study analyzes costs and revenues associated with the Company's gas transmission, storage, and distribution operations. It also includes the competitive cost categories related to the gas merchant function, the receipts processing function and the printing and mailing a bill functions. Competitive revenues included in the study are the MFC revenues associated with commodity procurement and credit and collections, as well as billing and payment processing ("BPP") revenues. The Gas Cost Factor ("GCF") revenues, Monthly Rate Adjustment ("MRA") revenues, and associated expenses are not included in the ECOS study. Revenues and expenses associated with the uncollectible component of the MFC and System Benefits Charge ("SBC") have also been excluded from the study. Revenues and gas costs are presented as if there were no interruptible customers.

Q. What time period does the ECOS study cover?

A. It covers Con Edison's gas operations for the calendar year 2023.

Q. What gas revenues are reflected in the ECOS study?

A. Gas revenues reflect current delivery rates, which went into effect January 1, 2025 ("current rates"). In addition, non-competitive transmission and distribution ("T&D") revenues include weather normalization adjustment ("WNA") revenues.

Q. What customer classes are analyzed in the ECOS study?

A. The ECOS study analyzes Con Edison's firm classes: Service Classification ("SC") 1, SC 2 Rate I (including customers served under SC 13), SC 2 Rate II, and SC 3. For SC 3, pursuant to the Joint Proposal adopted by the Commission in Case 22-G-0065, the Panel's ECOS study presents separate results for customers with 1-4 dwelling units and customers with more than 4 dwelling units. For purposes of the ECOS study and rate design, we combined firm transportation classes with their otherwise applicable firm sales service classes.

Q. How are the results of the ECOS study expressed?

A. The results of the ECOS study are expressed as Total Company ("total system") and class-by-class rates of return.

Q. What is the total system rate of return shown in the ECOS study?

A. The total system rate of return is 8.49 percent, as shown on Table 1, Page 1, Column (1), Line 17 of the ECOS study.

Q. What are the class rates of return shown in the ECOS study?

A. The following class rates of return are shown on Table 1, Page 1, Line 17 of the ECOS study:

SC 1: 11.62%

SC 2 Rate I: 11.69%

SC 2 Rate II: 7.07%

SC 3 (1-4): 2.74%

SC 3 (>4): 16.56%

Q. Has the Commission historically employed "tolerance bands" around the system rate of return in developing class revenue responsibilities?

A. Yes. Based on past practice, class revenue responsibility has been measured with respect to a ±10% tolerance band around the total system rate of return. Classes would not be considered "surplus" or "deficient" if the class ECOS rate of return falls within this tolerance band. Classes that fall outside this range would be either surplus or deficient by the revenue amount, including appropriate state and federal income taxes, necessary to bring the realized return to the upper or lower limit of the band. We propose to continue this practice in this case.

Q. Based on the application of the ±10% tolerance band around the calculated total system rate of return of 8.49%, what are the ECOS study class surpluses and deficiencies?

A. These results are shown on Table 1 of Schedule 1, lines 26 and 27 respectively. For example, SC 1 is surplus by $32,462,374, whereas SC 2 Rate II is deficient by $13,630,027.

Q. What is the significance, for example, of the SC 1 surplus?

A. The surplus is the amount of revenue decrease, at current rates, required to bring the SC 1 return to the upper limit of the tolerance band around the system rate of return.

Q. Please describe what is shown on Table 1A, which is the last page of Exhibit__(GRP-1).

A. Due to the application of a 10% tolerance band around the system rate of return, the ECOS study in this case produces a net system surplus. To ensure that ECOS study indications are revenue neutral to the Company, Table 1A adjusted classes with a rate of return below the system average based on their respective non-competitive delivery revenues used in the ECOS study to offset the net system surplus. Adjusting classes with a rate of return below the system average is intended to move toward eliminating subsidies in future ECOS studies.

Q. Let us now turn to the methodology used in developing the ECOS study. Please describe the procedures followed in the preparation of this study.

A. There are two main steps in the preparation of the ECOS study: (1) functionalization and classification of costs to operating functions, such as gas supply, distribution, customer accounting and customer service (with further division into sub-functions, such as distribution-demand component (mains) and distribution-services), and (2) allocation of these functionalized costs to customer classes.

Q. Please describe the functionalization and classification step.

A. The functionalization and classification step assigns the broad accounting-based cost categories to the more detailed categories used in the ECOS study. This breakdown is required, for example, to differentiate distribution-demand related costs from distribution-customer related costs. This allows for the

proper allocation of these costs to the classes based on cost causation.

Q. Please continue.

A. During the process of functionalization, all costs are classified as being demand-related, commodity-related, or customer-related. Demand-related costs are fixed costs created by the on-peak hourly loads placed on the various components of the gas system. Commodity-related costs are variable costs caused by the total quantities of gas delivered during the year. Customer-related costs are fixed costs caused by the presence of customers connected to the system, regardless of any customer's particular level of usage.

Q. Please describe the allocation step.

A. This step allocates the functionalized and classified costs to the customer classes based on the appropriate demand, commodity (sales) or customer allocation factors, which are shown on Table 7 of the ECOS study.

Q. Please explain the general organization of the ECOS study.

A. The ECOS study begins with explanatory notes detailing sources of data and methods used in the preparation of the study followed by seven tables of cost data.

Q. Does the ECOS study contain an analysis of customer costs by class of service?

A. Yes. Please refer to Table 6, Page 1, Line 14 of the ECOS study. The monthly customer costs by class are as follows:

SC 1: $33.66

SC 2 Rate I: $99.84

SC 2 Rate II: $174.50

SC 3 (1-4): $165.70

SC 3 (>4): $348.07

Q. What do customer costs include?

A. Customer costs include: a distribution-customer component, services, meters and house regulators, customer installation, payment processing, printing and mailing a bill, customer accounting, uncollectibles, and customer service.

Q. Does the ECOS study present unbundled functional costs for competitive services as set forth in the Commission's *Statement of Policy on Unbundling and Order Directing Tariff Filings*, issued August 25, 2004, in Case 00-M-0504 ("Unbundling Policy Statement")?

A. Yes. The ECOS study separately identifies the following competitive functions: gas merchant function, receipts processing, and printing and mailing a bill.

Q. What costs are included in the gas merchant function?

A. The gas merchant function contains costs associated with procuring the gas commodity, including an allocation of customer care-related activities, customer service-related activities, and Information Technology (“IT”).

Q. What costs are included in the allocation of customer care and customer service-related activities?

A. The customer care allocation includes costs associated with the Company's call centers, service centers, and credit and collection/theft activities. The customer service allocation also includes an assignment of education and outreach costs.

Q. How were these costs allocated to the gas merchant function?

A. Under the Unbundling Policy Statement, customer care and customer service-related costs were allocated to the gas merchant function on the basis of total revenues (i.e., including commodity revenues and SBC revenues).

Q. How were IT costs allocated to the gas merchant function?

A. Under the Unbundling Policy Statement, IT costs were allocated on the basis of total revenues, with 50 percent of the resultant allocation included in the gas merchant function.

Q. Have you further unbundled the gas merchant function for use in developing rate components for competitive services?

A. Yes. The ECOS study includes the development of separate supply-related and credit and collection-related MFC components to recover the costs for these commodity-related competitive services from two categories of customers. The supply-related MFC component consists of the costs associated with procuring commodity and an allocation of IT and education and outreach associated with commodity. The credit and collection-related MFC component consists of costs associated with credit and collection/theft. Only full-service customers will pay for these MFC components. The costs for credit and collection

services associated with the Purchase of Receivables ("POR") program have been identified separately and are reflected in a component of the POR discount applicable to marketers serving firm transportation customers receiving utility consolidated bills.

Q. How are these components allocated to the service classifications within the study?

A. One hundred percent of gas procurement activity costs and 25 percent of credit and collection/theft, IT, and education and outreach costs were allocated on a per-therm basis. The remaining 75 percent of credit and collection/theft, IT, and education and outreach costs were allocated on a per-customer basis.

Q. Why were the customer care-type costs, such as credit and collection/theft, allocated predominantly on the basis of number of customers, while the gas procurement activity was allocated entirely on a volumetric (i.e., therm consumption) basis?

A. The Company followed basic cost causation principles and determined that customer care-type activities are predominantly driven by the existence of customers on the system as opposed to their usage characteristics. On the other hand, the functional cost of purchasing commodity is aligned with sales volumes. This allocation is consistent with the *Order Adopting Unbundled Rates and Backout Credits and Specifying Terms for*

the Recovery of Revenues Lost As a Result of Such Rates and Credits, issued April 15, 2005, in Case 04-E-0572, approving Con Edison's unbundled rates.

Q. Is the allocation of the MFC components to various groups of customers shown on Exhibit __ (GRP-1)?

A. Yes. Schedule 2 of Exhibit __ (GRP-1), pages 1 and 2, shows the allocation of the competitive supply-related MFC cost components and the competitive credit and collection-related MFC cost components to the residential and commercial categories of customers. The exhibit presents these two components as percentages of total revenues, which is the sum of the T&D and competitive revenues (i.e., MFC, BPP and POR Discount Credit and Collection revenues) used in the ECOS study. Separate percentages are shown for the residential and commercial groups of customers for use in the development of the MFC.

Q. Is the allocation of unbundled costs for printing and mailing a bill and receipts processing functions shown on Exhibit __ (GRP-1)?

A. Yes. Schedule 3 of Exhibit __ (GRP-1) shows the unbundled costs for printing and mailing a bill and receipts processing functions. The printing and mailing a bill function and the receipts processing function consist of the customer accounting expense of accepting customer payments and billing customers, including both direct costs and an allocation for call center

and walk-in center operations based on a detailed study of those activities. Credit and collection, education and outreach, and uncollectible expenses were allocated to these functions on the basis of functional revenues. The unbundled average unit cost for receipts processing is 86 cents per bill. The average unit cost for printing and mailing a bill is 94 cents per bill. The costs for these two functions combined yield $1.80 in unbundled costs associated with billing and payment processing. The costs associated with billing and payment processing do not vary by SC and, thus, the system-wide $1.80 in unbundled costs is applicable to all service classifications.

IV. GAS MARGINAL T&D COST ANALYSIS

Q. Did you perform an analysis of the marginal cost of delivering an additional therm of gas on the T&D system?

A. Yes. The analysis is shown in Exhibit __ (GRP-2), titled "Consolidated Edison Company of New York, Inc. – Marginal Cost Analysis."

Q. Please describe the exhibit.

A. Exhibit __ (GRP-2), Schedule 1, shows the steps in the calculation of the marginal cost of delivering an additional therm of gas on Con Edison's gas T&D system. Exhibit __ (GRP-2), Schedule 2 presents a comparison of marginal costs developed in Schedule 1 to current T&D revenues.

Q. What period was used to calculate marginal costs?

A. We used the forecast period of five years from January 1, 2025 through December 31, 2029. This period includes the twelve months ending December 31, 2026 ("Rate Year").

Q. Please define marginal T&D costs.

A. Marginal T&D costs are the costs associated with additions and modifications to the T&D system infrastructure that result from increased throughput due to increased sales. This does not include costs associated with service piping or any equipment inside the customer's premises.

Q. How did you estimate the marginal T&D costs for this study?

A. First, we identified capital costs incurred for the T&D system to maintain reliable service under peak design conditions as a result of increased sales. For purposes of this marginal cost study, only mains investment associated with customer connections was identified as marginal. Line 1 in Exhibit __ (GRP-2), Schedule 1, shows the projected average annual capital investment in the T&D system for the years 2025-2029 that results from increased sales associated with customer connections. Next, we calculated the annualized costs associated with the average annual capital costs by applying a carrying charge of 8.96%, plus an additional 1.43% in annual O&M, to Line 1. The final step in our analysis was to compute the average T&D capital costs per unit of increased sales associated with customer connections by dividing the

incremental annualized capital costs by the projected increase in annual sales and escalating the result to bring it to Rate Year dollars. Line 6 of Exhibit __ (GRP-2), Schedule 1, shows the computed projected increase in sales (in therms); Line 7 shows the general escalation factor; and Line 8 shows the resultant total average marginal T&D cost per unit of increased sales.

Q. How do the marginal T&D costs compare to what is currently being recovered in rates?

A. Exhibit __ (GRP-2), Schedule 2, shows that marginal costs are less than what is being recovered in delivery rates for both SC 2 Rate I and SC 2 Rate II. The ratio by which marginal costs are less than what is being recovered in delivery rates is the basis for the discounts participating customers receive under Rider D – Excelsior Jobs Program ("EJP"), which is further discussed below. If marginal costs were to exceed what is being recovered in delivery rates, then no discount under EJP would be warranted.

V. REVENUE ALLOCATION AND RATE DESIGN

Q. Did the Company's Accounting Panel provide you with the increased delivery revenue requirement for the Rate Year?

A. Yes, the increase in the delivery revenue requirement for the Rate Year, which is proposed to be obtained from firm sales and

firm transportation customers in SCs 1, 2, 3, 9 and 13, amounted to $440.522 million, including gross receipts taxes.

Q. Please describe how you determined the Rate Year delivery revenue increase applicable to each class.

A. We performed the following steps in allocating the increased delivery revenue requirement:

- Gross receipts taxes of $12.679 million were deducted from the total Rate Year increased delivery revenue requirement of $440.522 million to derive the delivery revenue increase in the Rate Year of $427.843 million, excluding taxes.
- Before allocating the proposed delivery revenue increase excluding taxes, we increased it by $7.588 million, excluding GRT, (or $7.812 million including GRT) to reflect a projected net increase in credits to be paid to low-income residential customers in the Rate Year. (The current funding level for the low-income program credits, including GRT, is $35.839 million, and the projected Rate Year funding level, including GRT, for the low-income program credits is $43.651.) This results in an adjusted delivery revenue increase of $435.431 million, excluding taxes.
- As previously mentioned in the ECOS section of this testimony, the Company agreed under the terms of the Joint Proposal in Case 22-G-0065 to establish separate rates structures, within the SC 3 residential heating class, for

customers with 1-4 dwelling units and customers with more than 4 dwelling units based on an ECOS study with separate allocations for these two customer groups. The Company's revenue allocation and rate design reflects this separated SC 3 class as follows: SC 3, Rate I (1-4 dwelling units) and SC 3, Rate II (more than 4 dwelling units).

- Rate Year delivery revenues at the current level for SC 1, SC 2 Rates I and Rate II, and SC 3 Rates I and Rate II were then realigned to eliminate the deficiency and surplus indications from Exhibit __ (GRP-1), Schedule 1, Table 1A. To address the need to eliminate the surpluses and deficiencies while considering the impacts on customers in the deficient SC 2 Rate II and SC 3 Rate I classes, we applied one sixth of the class-specific deficiency and surplus indications ("revenue adjustments") from the ECOS study in a revenue-neutral manner before applying the revenue increases. This approach allows us to address revenue and cost imbalances while considering customer bill impacts. Our intent is to reduce further any deficiencies and surpluses in later years.
- The Rate Year delivery revenue increase was then allocated to each class by applying the overall Rate Year delivery revenue percentage increase to Rate Year delivery revenues as realigned for the ECOS study surplus and deficiency indications as described above. The Rate Year delivery revenue percentage increase of 19.19% was developed by

dividing the proposed delivery rate increase by the total Rate Year delivery revenues.

- We then determined the total Rate Year delivery revenue increase for each class by adding the revenue adjustments we proposed based on Table 1A of the ECOS study to the delivery revenue increase allocated to each class.

Q. Please explain how you designed firm gas delivery rates for each service classification.

A. The rate design process consisted of the following steps:

- determining the amount of the revenue increase applicable to the competitive charges;
- determining the remaining amount of the revenue increase to be applied to non-competitive charges; and
- designing rates for non-competitive charges.

Q. Please explain how you determined the amount of the delivery revenue increase attributable to the competitive charges.

A. The amount of the delivery revenue increase attributable to the competitive charges is determined by taking the difference between the competitive service revenues at the proposed rates, designed in accordance with the Unbundling Policy Statement, and the competitive service revenues at current rates. The change in competitive delivery revenues reflects changes in both the BPP and MFC fixed components.

Q. Please describe the MFC fixed components.

A. The MFC fixed components consist of a supply-related component, a credit and collections-related ("C&C") component, and a POR C&C component. Separate MFCs were calculated for the following MFC groups: (1) residential customers (SC 1, SC 3 Rate I, and SC 3 Rate II); and (2) commercial customers (SC 2 Rate I, SC 2 Rate II, and SC 13).

Q. Please describe how you designed the MFC.

A. As shown on Exhibit __ (GRP-1), Schedule 2, Page 1, the costs associated with the supply-related component are:

(1) 0.1876% of total delivery revenues for residential customers; and

(2) 0.0599% of total delivery revenues for commercial customers.

To determine the Rate Year revenue requirement associated with these costs for each MFC group, the respective percentages were applied to the total Rate Year revenue requirement at the proposed rate level. The resulting Rate Year revenue requirement for the supply-related portion of the MFC for each MFC group was then divided by the combined Rate Year sales for residential SC 1, SC 3 Rate I, and SC 3 Rate II full-service customers and the combined Rate Year sales for commercial SC 2 Rate I, SC 2 Rate II and SC 13 full service customers, respectively, to determine the $/therm supply-related component of the MFC for each MFC group.

Q. Please continue.

A. As shown on Exhibit __ (GRP-1), Schedule 2, Page 2, the total costs associated with the C&C-related component of the MFC are 0.2840 percent of total Con Edison delivery revenues at current rates.

To determine the Rate Year C&C-related revenue requirement, this percentage was applied to the total Rate Year delivery revenue requirement at the proposed level. The total Rate Year C&C-related revenue requirement was then split between full-service and POR customers based on the respective split of full service and POR forecasted Rate Year volumes. The portion of the C&C-related Rate Year revenue requirement to be recovered from full-service customers through separate MFC rate components was further allocated among: (1) residential SC 1, SC 3 Rate I, and SC 3 Rate II customers; and (2) commercial SC 2 Rate I, SC 2 Rate II and SC 13 customers based on the breakdown of relative class percentages for full-service customers' portion of C&C costs as shown on Exhibit__ (GRP-1), Schedule 2, Page 2. The resulting Rate Year revenue requirements for the C&C-related portion of the MFC for each MFC group were then divided by the respective Rate Year volumes for full-service customers to determine the $/therm C&C-related component of the MFC. The residual Rate Year C&C-related revenue requirement will be recovered through a percentage adder to the POR discount rate.

Q. Have you changed the BPP charge?

A. Yes. As noted in the ECOS section of this testimony, Exhibit__(GRP-1), Schedule 3 reflects cost of service indications for Receipts Processing and Printing and Mailing a Bill totaling $1.80. We therefore propose to increase the BPP charge to $1.80 to reflect these cost-of-service indications. The Company continues to support a consistent BPP charge applicable to gas and electric service. Therefore, as discussed further in the testimony of the Electric Rate Panel, the Company also proposes to increase the electric BPP to $1.80.

Q. How will the BPP charge be applied?

A. Single-service gas customers purchasing both commodity and delivery from the Company and single-service retail access customers receiving separate bills from the Company and a Marketer will pay $1.80 per bill.

Q. Will dual-service customers pay the same BPP charge as single-service customers?

A. Yes, but half of the charge is treated as a gas charge under the Company's gas rate schedule and the other half as an electric charge under the Company's electric rate schedule.

Q. Please describe the next step in the rate design process.

A. The revenue increase to be applied to the non-competitive charges for each class was determined by adjusting the total revenue increase for the variation between the competitive

charges by class at current rates and competitive charges by class for the Rate Year.

Q. Please describe how you designed the non-competitive charges to collect the Rate Year non-competitive delivery revenue increase.

A. The minimum charges, which include delivery of the first three therms of gas, were increased for the firm SCs. The minimum charge for SC 1 was increased from $33.23 to $38.73 as explained below. The minimum charge for SC 2 Rate I and SC 2 Rate II was increased from $47.00 to $57.00 and the minimum charge for SC 3 was increased from $32.00 to $40.00 for SC 3, Rate I, and to $60.00 for SC 3, Rate II to make movement toward the ECOS study customer cost indications. The SC 13 minimum charge also increased because it is a function of the SC 2 minimum charge in that it recovers the same annual minimum charge revenue over a seven-month period, i.e., the number of months that customers can take service under SC 13, instead of over a 12-month period.

Q. Please explain why the minimum charge for SC 1 was increased.

A. The majority of SC 1 customers use 5 therms or less per month and the vast majority of SC 1 delivery revenue is associated with the minimum charge. Therefore, applying the revenue increase solely to the volumetric charge would disproportionally affect customers using more than 5 therms per month.

Q. Please continue to describe the rate design for the non-competitive charges.

A. After considering the amount of the delivery revenue increase attributable to changes in the minimum charges, the remaining non-competitive delivery revenue increase within each class was allocated to the block rates as follows:

- The charges for the per therm rate block for SC 1 (i.e., for all usage over three therms per month) was designed to collect the balance of the revenue increase assigned to SC 1.
- In Case 22-G-0065, the Company began a gradual process in SCs 2 and 3 to flatten the declining block rate structures over a ten-year period to promote energy efficiency. The Rate Year in this proceeding is year four of ten in this effort of flattening the declining block rate structures.
    - For SC 3, Rate I, the third volumetric rate block for usage greater than 3,000 therms was eliminated and the rates for the remaining two volumetric rate blocks (i.e., for usage from 4 to 90 therms and for usage greater than 90 therms) were changed in a revenue neutral manner to continue flattening the declining block rate structure. Then the remaining revenue increase, after deducting the changes in annual revenues attributable to the minimum charge,

was applied to the remaining two volumetric charges on a dollar per therm basis.

- For SC 3, Rate II, the charges for the three volumetric rate blocks (i.e., for usage from 4 to 90 therms, for usage from 91 to 3,000 therms, and for usage greater than 3,000 therms) were changed to continue flattening the declining block rate structure in a revenue-neutral manner. Then the remaining revenue increase, after deducting the changes in annual revenues attributable to the minimum charge and to the air conditioning rates (as explained below), was applied to the volumetric charges on a dollar per therm basis.
- The charges for the three volumetric rate blocks within SC 2 Rate I and Rate II (i.e., for usage from 4 to 90 therms, for usage from 91 to 3,000 therms, and for usage greater than 3,000 therms) were changed to continue flattening the declining block rate structure in a revenue neutral manner. Then the remaining revenue increases for SC 2 Rate I and Rate II, after deducting the change in annual revenues attributable to the minimum charge and to the air conditioning rates (as explained below), were applied to the volumetric charges on a dollar per therm basis.

- After accounting for the change in revenues to be collected through the SC 13 minimum charge, the two volumetric rate blocks for SC 13 were assigned the balance of the SC 13 rate increase on an equal percentage basis. Consistent with our current rate design, the SC 2 and SC 3 air-conditioning rates were set equal to the proposed block rates in SC 13, because the air-conditioning rates apply to seasonal off-peak firm gas usage as SC 13 rates do.

Q. Are you proposing any changes to the distributed generation ("DG") rates under Riders H and J?

A. Yes, we are proposing to increase the non-competitive delivery rates for Riders H and J as follows:

- The Rider H minimum charges (which include the first three therms of gas use were increased on a uniform percentage basis by the SC 2 Rate I Rider H non-competitive rate change percentage. After accounting for the change in revenues to be collected through the minimum charges, the per-therm rates and contract demand rate were assigned the balance of the Rider H rate increase on an equal percentage basis.
- The Rider J minimum charge applicable to SC 1 and equivalent SC 9 customers was increased by the same percentage increase as the SC 1 minimum charge. The per

therm rate for Rider J, Rate I, applicable to SC 1 and equivalent SC 9 customers, was increased by the same percentage increase as applied to the SC 1 non-competitive per therm delivery rate.

- The Rider J minimum charge, applicable to SC 3 Rate I and equivalent SC 9 customers in buildings with four or less dwelling units, was increased by the SC 3 Rider J non-competitive rate change percentage. After accounting for the change in revenues to be collected through the minimum charge, the Rider J per-therm rate applicable to SC 3 Rate I and equivalent SC 9 customers was assigned the balance of the rate increase.

Q. Did you allocate any of the delivery revenue increase to Firm Bypass customers in SC 9 or Natural Gas Vehicle customers in SC 14?

A. No. Firm Bypass customers in SC 9 were not allocated any portion of the rate increase because bypass rates are set by contract based on the bypass customer's competitive alternatives. SC 14, the rate for natural gas used in vehicles, was not allocated any portion of the rate increase because SC 14 customers are charged either fixed rates set by contract or market-based rates reflecting the competitive price of gasoline.

Q. Are you proposing any other rate changes?

A. Yes, we are proposing to update the discounts for customers who commence service under Rider D, EJP, on or after January 1, 2026.

Q. How did you determine the discounts for Rider D?

A. Exhibit ___ (GRP-2), Schedule 2, shows the ratio of marginal costs to what is currently being recovered in delivery rates. The rate discounts were based on one minus the ratio of the marginal costs to the corresponding revenue requirement for the respective class. This results in a discount of 53% for SC 2 Rate I and a discount of 33% for SC 2 Rate II. For customers commencing service under Rider D beginning on or after January 1, 2026, this percentage reduction would be applicable to their delivery rates. EJP discount percentages have been rounded to the nearest whole percentage.

Q. Are you proposing any changes to rates of the interruptible service class?

A. We are not proposing to change the methodology for determining delivery rates for interruptible customers taking service under SC 12 Rate 1 and SC 9 Rate B. In accordance with the Commission's January 16, 2020 *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan* in Cases 19-E-0065 and 19-G-0066, we have set the rates for the volumetric rate blocks at 70% of each of the SC 2 Rate II volumetric block rates for non-residential customers and 70% of each of the SC 3 volumetric block rates for residential

customers. With the proposal in this proceeding to separate the SC 3 residential heating class into Rate I and Rate II, the interruptible rates for residential customers will be set at 70% of the SC 3 Rate II volumetric block rates.

Q. Are you proposing any changes to rates of off-peak firm customers taking service under SC 12 Rate 2 and SC 9 Rate C?

A. We are not proposing any changes to off-peak firm delivery rates at this time.

VI. REVENUES AND BILL IMPACTS

Q. Having computed revised rates for each SC, have you prepared exhibits showing what the estimated impact on customers' bills would be under the proposed rates?

A. Yes, we prepared Exhibit __ (GRP-3), the first page of which is entitled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. – RATE DESIGN – GAS DEPARTMENT – RATE YEAR 2026."

Q. Please continue.

A. Exhibit __ (GRP-3) includes four schedules that compare present and proposed revenue levels and rates and show the estimated impacts on customers' bills resulting from the proposed rates.

Q. Please explain each schedule.

A. Exhibit __ (GRP-3), Schedule 1, shows, by service classification, the Rate Year annual service class revenues at current January 1, 2025 rates, the Rate Year annual service class revenues at the proposed rates, and the resulting change

in Rate Year service class revenues. Also shown is the number of customer bills that would have been increased, decreased and remain unchanged in the Rate Year based upon customer data for the 12-month period ended December 31, 2023. The revenues reflect an estimated gas cost for both full service and transportation customers.

Exhibit __ (GRP-3), Schedule 2, shows a comparison of the current firm rates and charges, effective January 1, 2025, with the proposed firm rates and charges, for SCs 1, 2, 3, 9, 13, and for DG rates under Riders H and J.

Exhibit __ (GRP-3), Schedule 3, shows bill comparisons by service class, at the current January 1, 2025 rates and at the proposed rates. It consists of tables that show comparisons of monthly bills at various usage levels under the current rates and charges and under the proposed rates and charges.

The revenues and bill impacts shown in Exhibit __ (GRP-3), Schedules 1 and 3 include the same gas cost, SBC and MRA rates, at the forecasted Rate Year level, in the revenues and bill amounts at the current revenue level and proposed revenues and bill amounts to demonstrate only the impact of the change in delivery rates on a customer's total bill amount.

Q. Have you prepared any analyses that show the change in total firm customers' bills taking into account both the increase in proposed delivery rates and projections for other charges, such as commodity charges?

A. Yes. We prepared Exhibit __ (GRP-3), Schedule 4, entitled "Consolidated Edison Company of New York, Inc. Projected Gas Bills." In this schedule, we show a comparison of average monthly bills by service class at proposed rates and charges for three 12-month periods. In these comparisons, the commodity and delivery-related portions are also shown. The commodity charges reflect the effect of projected gas costs. The delivery charges consist of projected non-competitive and competitive delivery charges based on three years of projected delivery revenue requirements provided by the Accounting Panel. Delivery charges also include projections for various other charges, such as the MRA and SBC, for each of the three Rate Years.

Moreover, at page 63 of the Commission's *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans With Additional Requirements*, issued and effective July 20, 2023, in Case 22-G-0065, the Commission required additional information in the Company's next major rate case. Specifically, the Commission directed the Company to file a comprehensive summary of all charges to be included on customers' bills and the associated impacts. Accordingly, we expanded Schedule 4 of Exhibit__(GRP-3) to delineate the surcharges and the contribution of their associated impacts to the stated bill impact by scenario assumed in developing the customer bill impacts.

VII. BILL FREQUENCY DISTRIBUTIONS

Q. Please explain Exhibit ___ (GRP-4)

A. We prepared Exhibit ___ (GRP-4), the first page of which is entitled "BILL FREQUENCY DISTRIBUTIONS 2019-2023." The Company is filing this exhibit as agreed to in the Joint Proposal in Case 22-G-0065 (at p. 71). Specifically, the Company agreed to provide in its next rate case filing bill frequency data for each of the prior five calendar years to the extent available. The data is to include the number of bills and therms, by month, at various usage ranges. Additionally, the data is to include information for each customer service class (and applicable rate class within each service class) with low-income information related to the Company's Energy Affordability Program ("EAP") separately identified.

Q. Please continue.

A. Exhibit __ (GRP-4) includes five schedules, one for each of the prior five calendar years ending with calendar year 2023. The data provided is the number of bills and total usage (therms), by month, at various usage ranges. It is further grouped by customer service classification and applicable rate classes within each, with low income separately identified. The summaries for rate classes calculate average usage as total usage divided by number of bills.

VIII. OTHER TARIFF CHANGES

Q. Are you making any tariff changes resulting from program changes proposed by other Company panels in this case?

A. Yes. The Panel is sponsoring tariff changes associated with program changes being proposed by the Accounting Panel, the Customer Operations Panel, and the Gas Infrastructure and Operations Panel ("GIOP").

Q. Please specify the tariff changes associated with program changes being proposed by the Accounting Panel.

A. There are various program changes in the Accounting Panel testimony that require tariff changes as follows:

- The Company has updated the handling cost and corporate overheads in General Information Sections IV.2.(B) and (F), respectively, which list elements of costs charged for special services performed by the Company.
- The Company has clarified that the Reconciliation of Property Taxes mechanism in General Information Section IX.31 continues.
- The Company has clarified that the Unbilled Fees Adjustment in General Information Section IX.6 continues.
- The Company has clarified that the Uncollectible Bill Expense Adjustment in General Information Section IX.32 continues.

- The Company has removed language in General Information Section IX.29, Non-Pipes Alternatives ("NPA") Adjustment, associated with the recovery of costs for the District Energy Initiative pursuant to the Commission's January 16, 2020 *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan* in Case 19-E-0065 and 19-G-0066. These costs have been recovered in the MRA, and any remaining residual balances have been incorporated into the revenue requirement.
- The Company has added language to General Information Section IX.19, Other Non-Recurring Adjustments, to incorporate a provision to recover deferrals from revenue changes due to new or modified laws, rules, regulations, orders, or court or agency interpretations of federal, state, or local requirements, including tax-exempt debt refunds, resulting in changes to the Company's annual gas revenues, costs or expenses not anticipated in the forecasts and assumptions on which the rates are based in an annual amount, equating to ten (10) basis points of return on common equity or more.
- The Company is proposing to add a new MRA component to recover carrying charges associated with qualifying net plant, above the level included in base rates, as an adjustment to the MRA.

Q. Please specify the tariff changes associated with program changes being proposed by the Customer Operations Panel.

A. Tariff changes associated with program changes being proposed by the Customer Operations Panel are as follows:

- The Low Income Reconciliation Adjustment, under General Information Section IX.10., has been updated to conform to the EAP Budget of $43.7 million (an increase of $7.8 million from the current level in rates of $35.8 million) adopted in the Commission's *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings*, in Cases 14-M-0565 and 20-M-0266, issued August 12, 2021.
- The Company proposes to limit the eligibility of SC 3 Residential Heating customers in Rider E, Low Income Program, solely to SC 3 Rate I customers. SC 3 Rate II customers will be ineligible to participate.

Q. Please specify the tariff changes associated with program changes being proposed by the GIOP.

A. The Panel is also sponsoring the following tariff changes associated with the program changes being proposed in the GIOP testimony:

- Added language to: (1) General Information Section III.5.(B) to include natural gas detectors on the list of Company equipment, require customers with AMI meters to

allow the installation of an AMI-enabled natural gas detector device and (2) update the cost of replacing damaged gas meters under General Information Section III.8.(N) to include the replacement cost of natural gas detectors.

- Added language under General Information Section III.5.(C)(3)(ii) clarifying that survey/inspection fees are due at time of refusal.
- Added language under General Information Section III.8.(V)(2) to include the assessment of a reconnection charge to re-establish service to a customer whose service has been discontinued due to the customer's failure to allow the Company to complete a safety inspection.
- Streamlined language under General Information Section III.12 to update Termination Notices for both residential and non-residential customers to reflect ways to contact the Company and avoid loss of service.

Q. What other tariff changes are being sponsored by the Gas Rate Panel?

A. Additional Gas Rate Panel sponsored tariff changes are summarized below:

- We added and/or modified language throughout the Gas tariff to separate the SC 3 residential heating class and its SC 9 equivalent into Rate I and Rate II including:

specifying that SC 3 Rate II customers are eligible for Rider H, and SC 3 Rate I customers are eligible for Rider J, in the Applicability sections of Riders H and J, respectively; developing separate weather normalization factors for SC 3 Rate I and SC 3 Rate II under General Information Section IX.1(B); limiting the eligibility of SC 3 customers for Rider E, Low Income Program to SC 3 Rate I as discussed earlier in this testimony; and setting interruptible rates at 70% of the SC 3 Rate II volumetric block rates as discussed earlier in this testimony.

- We have updated General Information Section IX.14. to add a monthly fixed cost component to the RDM Adjustment for SC 1 firm sales customers and equivalent SC 9 transportation customers to better align the RDM Adjustment with the underlying rate structure. This section was also revised to eliminate past period RDM revenue targets and to add the framework for a list of RDM revenue targets for the period January through December 2026. These targets have been shown as "TBD" since they have not yet been calculated.
- As discussed in the Rate Design section above, tariff changes have been made to specify the revised EJP discounts we are proposing under Rider D and their effective dates.

- We amended General Information Section IX.10., Low Income Reconciliation Adjustment, to specify that continuation of the Low Income Program beyond December 31, 2026, will be contingent on the continuation of full cost recovery through the MRA or an equivalent mechanism.

Q. Please describe any housekeeping changes you are making.

A. The housekeeping changes are as follows:

- We removed bi-monthly billing and rate references throughout the Gas Tariff since the Company no longer provides bi-monthly billing.
- We converted rates from cents to dollars to standardize tariff units, align with the Company's dollar-based billing system, and enhance customer comprehension of their rates.
- The Company has removed language throughout various sections of the tariff associated with the recovery of costs for the Climate Change Vulnerability Study pursuant to the January 25, 2017 Commission *Order Approving Electric and Gas Rate Plans* in Case 16-E-0060 and 16-G-0061. These costs have been recovered in the MRA.
- We updated weblink references that are no longer active in General Information Section III.8(W).2

- We corrected text in General Information Section III.8(W)2(c) to specify bi-monthly reading for residential AMI/AMR Meter Opt-Out customers.

Q. Are you recommending any housekeeping changes to General Information Section IX., Special Adjustments, of the tariff?

A. Yes. The Panel is recommending the following obsolete Special Adjustments be removed from General Information Section IX. of the tariff along with any references throughout the tariff to such Special Adjustments:

- General Information Section IX.24., Climate Change Vulnerability Study;
- General Information Section IX.29., Non-Pipes Alternatives ("NPA") Adjustment. Deleted language related to the recovery of costs associated with the District Energy Initiative, pursuant to the Commission's January 26, 2020 Order *Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan* in Case 19-E-0065 and 19-G-0066, which have been recovered.

Q. Are you updating the line loss factor and Factor of Adjustment at this time?

A. No. Since the Factor of Adjustment is updated each January based upon the average of actual line losses for the preceding five 12-month periods ending August, we do not have the values at this time. This will be updated at a later stage in this

proceeding. We therefore revised General Information Section VII.(A)1.(d) to remove a specific reference to Case 22-G-0065.

IX. RATE CASE ENHANCEMENTS PROJECT

Q. Is the Panel proposing any systems initiatives?

A. Yes, as discussed in the testimony of the Demand Analysis and Cost of Service Panel filed in the Company's electric rate case, the Customer Usage System ("CUS") project is common to both gas and electric services. As discussed in the whitepaper, this project provides gas-related load research and rate design benefits. For example, the scope of the Rate Case Enhancement projects includes addressing system requirements associated with anticipated billing changes not currently reflected in system design, such as gas interruptible billing and updates to reflect changes in rate structures and future rate case requirements.

Q. Does this conclude your direct testimony?

A. Yes, it does.